8 Industry and Trade

In this chapter, we are going to gather some information about industry and trade in India in the post-independence period.

After India became independent, the Industrial Finance Corporation of India was established in 1948 with the purpose of making available long term loans to industrial projects. Similarly the Industrial Development Corporation was established in 1954 in order to bring about greater development of the industrial sector.

Some industries in India

Textile industry : The textile industry forms 14% of the total industrial production.

It includes the powerloom and the handloom industries. The handloom industries are labour intensive. According to the 'Textile Committee Act 1963', a Textile Committee has been established. This committee sets the quality standards for textiles manufactured for sale in the internal market as well as for export.

Silk industry : This industry functions under the Ministry of Textiles. The research about the species of the silkworm and mulberry trees is done in the Seribiotic Research Laboratory at Bengaluru. This industry is primarily in the States of Karnataka, Andhra Pradesh, West Bengal and Jammu and Kashmir. Now it is being spread in States with predominantly tribal populations.

Jute industry : India is the top ranking country in jute production. India is a major exporter of jute products. We get cloth, sack cloth and ropes from jute.

Do you know ?

'Mega cluster' is a scheme that helps weavers through self-finance groups and non-governmental organisations. Help is given in the form of raw material, design banks, development of technology and welfare of the weavers.

Hand sculpting : This is a labour intensive craft. Sculptors got employment due to the capacity of the craft to absorb more craftsmen, small investment, more profits, preference to exports and possibility of earning more foreign exchange. Several cities have market mechanisms like 'Dilli Haat' which enables the craftsmen from rural and urban areas to get a market for their wares.

Automobile industry : India is one of the major producers of vehicles. Vehicles are exported to 40 countries from India.

The automobile industry is called the 'sunrise sector' in India. For example, India's tractor industry is the biggest in the world. One-third of the tractors manufactured world-wide are produced in India. Tractors manufactured in India are exported to Turkey, Malaysia and several countries in Africa.

Cement industry : The role of cement industry is important in the development of housing and infrastructure. This industry is one of the most technologically advanced. India is currently an important producer of cement in the world.

Leather industry : It is a big industry in India. It is primarily export oriented.

Salt industry : India is one of the top producers of salt in the world. The annual production of salt in India is 200 lakh tons. The production of iodised salt is 60 lakh tons.

Bicycle industry : India is a leading producer of bicycles in the world. Bicycles are made in the States of Punjab and Tamil Nadu. The main centre of bicycle manufacturing in India is Ludhiana. India exports bicycles to countries like Nigeria, Mexico, Kenya, Uganda and Brazil.

Khadi and village industry : The Khadi and Village Industries Commission was established to give impetus to industrialisation in rural areas. The main objectives behind the establishment of the corporation were to develop the traditional industries, handicrafts, cottage industries and to encourage industries that use the material and human resources available at the local level and make the villages self-reliant by creating employment there.

Agriculture : In India, agriculture is practised using traditional and modern methods. Many agricultural tasks are performed using bullocks. Similarly, machines are being used in different tasks like ploughing, sowing to harvesting, threshing, etc.

The major occupation in India is agriculture and other tasks based on agriculture. Agriculture and animal husbandry are practised in villages. Seventy percent of Indian society depends upon jobs related to agriculture and agricultural production. In this industry the participation of women is equal to that of men.

Agriculture is practised in different seasons in India. Many varieties of crops are grown. Jowar, wheat, rice, pulses and oilseeds are mainly produced. Along with it, cotton and sugarcane are processed to manufacture cloth and sugar respectively.

Agriculture also includes the production of fruits and vegetables. Nowadays, industries processing these fruits and vegetables have come up. Agriculture fulfills man's basic needs. In order to encourage farming, loans are given to farmers through rural banks and cooperative institutions. Study visits, agricultural outdoor trips and farmers' get-togethers are organised through the Panchayat Samitis to bring about improvements in agriculture. Tools and implements, seeds and fertilisers are also supplied. The farmers are given training regarding soil testing, nursery of fruit plants, pisciculture, poultry, cattle and goat rearing, dairy farming, etc. Guidance is given to farmers by a district level training institute. Financial help is given to build warehouses for storing the farm produce.

India is rapidly becoming independent in food grain production and farming techniques. Modern techniques like drip irrigation, organic farming are used for farming.

Policy of the Central Government : In the fourth five year plan, focus was placed on paper industry, pharmaceutical industry, motor-tractor industry, leather goods, textile industry, food processing industry, oil, colour, sugar industries, etc.

According to the Industrial Licensing Policy of 1970, all those factories requiring an investment of more than 5 crore rupees were to be included as heavy industries. The big industrial houses and foreign

companies were allowed to invest in heavy industries that were not reserved for the public sector. As a result of this policy, by the end of 1972, 3 lakh 18 thousand small industries were registered with the government registration office.

Mineral wealth : The availability of the minerals, iron and coal plays a major role in the industrial development of the country. We have adequate stores of iron, manganese, coal and mineral oil in our country.

Forest resources : Government has reserved some forests for the industries based on forests. The task of conservation of the forests is done by the central government, the State government and by the local people. Forests are necessary for the raw material for industries like construction, paper, newsprint, silk, matchboxes, medicinal herbs, honey, lacquer and raw material needed for paint.

Fisheries : Fisheries include sea water fish and fresh water fish found in rivers, canals, ponds and lakes.

Harbours have been built or old harbours have been redeveloped, fish seed incubation centres and fishing industry training centres have been provided for the growth of this industry.

Tourism : India has a rich cultural heritage. There are places of worship of different religions, pilgrimage centers, confluences of rivers, forts, caves, etc. all over our country. Tourists from our country as well as from abroad travel in India throughout the year. The facilities for tourists to stay, travel, etc. are provided through the Tourism Development Corporation. Sale of curios and the hotel industry thrives in tourist places.

In some places, there are guides who give information to tourists about that area. Sometimes when vehicles don't reach the destination in some remote and difficult to reach tourist places, the local people help the tourists in return for a fee. Employment opportunities are generated out of these needs.

Import-export or foreign trade : When planning started in 1951, the import of industrial goods and raw material required for production increased, India's imports included machines, iron, mineral oil, fertilisers, medicines, etc.

India also gave impetus to exports after independence in order to gain valuable foreign exchange. India's exports included tea, coffee, spices, cotton textiles, leather, footwear, pearls, precious stones, etc.

Internal trade : India's internal trade takes place via railways, waterways, roads, airways, etc. Ports like Mumbai, Kolkata, Cochi and Chennai are important. Commodities like coal, cotton, cotton textiles, rice, wheat, raw jute, iron, steel, oilseeds, salt, sugar, etc. are included in internal trade.

Due to the development of industries, the standard of life in the country improves. Many opportunities for employment become available. On the whole, it helps in the progress of the country.

In the next chapter, we shall see how the life of Indians has been changing.

Exercises

1. (A) Choose the correct option from the given options and complete the statements.

(1) In 1948, Industrial Finance Corporation of India was formed for ……. .

(a) better development of the industrial sector.

(b) making available long term loans to industrial projects.

(c) generating employment

(d) determining the quality of finished goods.

(2) ……. industry in India is called as the 'Sunrise Sector'.

(a) Jute (b) Automobile (c) Cement

(d) Khadi and village industries

(3) The major responsibility of the textiles committee is ……. .

(a) Production of cloth

(b) Determining the quality standards of cloth

(c) Export of cloth

(d) Generate employment for people

(4) …… is the major Indian city in the production of bicycles.

(a) Mumbai (b) Ludhiana

(c) Cochi (d) Kolkata

(B) Identify and write the wrong pair.

(1) Industrial Finance Corporation of India – makes long term loans available for industrial projects.

(2) Industrial Development Corporation – development of industrial sector.

(3) Textiles Committee – welfare of weavers.

(4) Khadi and Village Industries Commission – promotion of industrialisation in rural areas.

2 (A) Complete the activity as per the given instructions.

Complete the table.

Goods imported in India	
Goods exported from India	

(B) Write short notes on-

(1) India's imports and exports.

(2) The internal trade of India.

3. Explain the following statements with reasons.

(1) The tourism industry has developed a lot in India.

(2) The quality of life and standard of living of Indian citizens is increasing.

4. Answer the following questions in detail.

(1) What efforts are made by our government to promote agricultural industries?

(2) How is employment generated in the tourism sector?

(3) Which industries in India are based on forests?

(4) Write a short note on leather industry in India.

Projects

(1) Collect pictures of a few successful entrepreneurs.

(2) From among the things we use in our daily life, identify those that are locally manufactured from those that are imported. Prepare a chart.

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